

- b. I will reevaluate my reasons for buying the stock, but I will probably stick with it because I usually stick with my original determination that a company will be successful.
- c. I will reevaluate my reasoning for buying the stock and will decide, based on an objective consideration of all the facts, what to do next.

Question 3: When news comes out that has potentially negative implications for the price of a security that you own, how quickly do you react to this information?

- a. I usually wait for the market to communicate the significance of the information and then I decide what to do.
- b. Sometimes, I wait for the market to communicate the significance of the information, but other times, I respond without delay.
- c. I respond without delay.

Test Results Analysis

People answering “a” or “b” to any of the preceding questions may indicate susceptibility to conservatism bias.

ADVICE

Because conservatism is a cognitive bias, advice and information can often correct or lessen its effect. Specifically, investors must first avoid clinging to forecasts; they must also be sure to react, decisively, to new information. This does not mean that investors should respond to events without careful analysis. However, when the wisest course of action becomes clear, it should be implemented resolutely and without hesitation. Additionally, investors should seek professional advice when trying to interpret information that they have difficulty understanding. Otherwise, investors may not take action when they should.

When new information is presented, ask yourself: How does this impact my forecast? Does it actually jeopardize my forecast? If investors can answer these questions honestly, then they have achieved a very good handle on conservatism bias. Conservatism can prevent good decisions from being made, and investors need to remain mindful of any propensities they might exhibit that make them cling to old views and react slowly toward promising, emerging developments. Offering high-quality, professional advice is probably the best way to help a client avoid the pitfalls of this common bias.